Chapter 8. Integer-Valued Time Series Models

INAR(1), INGARCH(1,1), change-point tests

Contents

8.1 The INAR(1) model **2**

8.1.1 Conditional least squares 4

8.2 The INGARCH(1,1) model **4**

8.3 Change-point tests **5**

8.4 Selected exercises **6**

Count time series take values in $\{0, 1, 2, \dots\}$ (trades per minute, monthly accidents, daily admissions). ARMA/GARCH fail since $\phi y_{t-1} + \epsilon_t$ is not integer-valued. Standard alternatives: INAR (McKenzie, 1985; Al-Osh and Alzaid, 1987) and INGARCH (Ferland et al., 2006), Poisson given the past; inference by Davis and Liu (2016), Lee and Lee (2019) (see Weiss, 2018). $\mathcal{F}_{t-1} = \sigma(y_{t-1}, y_{t-2}, \dots)$ (the book's I_t).

8.1 The INAR(1) model

Motivation. Binomial thinning (keep each of Y units with probability α) replaces multiplication by α and gives an integer-valued AR(1).

Definition 8.1.1 (Binomial thinning)

For a nonnegative integer-valued random variable Y and $\alpha \in (0, 1)$, the *thinning operator* $\circ$ is

$$\alpha \circ Y = \sum_{i=1}^{Y} w_i,$$

where the w_i are i.i.d. Bernoulli variables with success probability α, independent of Y (the *counting sequence*); $\alpha \circ Y = 0$ when $Y = 0$.

Proposition (Properties of thinning, [Supplement])

Let Y be nonnegative integer-valued with $EY^2 < \infty$, with probability generating function $G_Y(s) = Es^Y$, and let $\alpha, \beta \in (0, 1)$.
(1) $E(\alpha \circ Y \mid Y) = \alpha Y$ and $\operatorname{Var}(\alpha \circ Y \mid Y) = \alpha(1-\alpha)Y$; hence $E(\alpha \circ Y) = \alpha EY$ and $\operatorname{Var}(\alpha \circ Y) = \alpha(1-\alpha)EY + \alpha^2 \operatorname{Var} Y$.
(2) $G_{\alpha \circ Y}(s) = G_Y(1 - \alpha + \alpha s)$.
(3) With independent counting sequences, $\alpha \circ (\beta \circ Y) \overset{d}{=} (\alpha\beta) \circ Y$.
(4) If $Y \sim \text{Poisson}(\lambda)$ then $\alpha \circ Y \sim \text{Poisson}(\alpha\lambda)$.

Proof.

(1) Given $Y = y$, $\alpha \circ Y$ is Binomial(y, α), with mean αy and variance $\alpha(1-\alpha)y$. The unconditional formulas follow from $E(\cdot) = E(E(\cdot \mid Y))$ and $\operatorname{Var}(\cdot) = E \operatorname{Var}(\cdot \mid Y) + \operatorname{Var} E(\cdot \mid Y)$.

(2) $E(s^{\alpha \circ Y} \mid Y) = (Es^{w_1})^Y = (1 - \alpha + \alpha s)^Y$; take expectations.

(3) By (2) twice, $G_{\alpha \circ (\beta \circ Y)}(s) = G_{\beta \circ Y}(1-\alpha+\alpha s) = G_Y\big(1-\beta+\beta(1-\alpha+\alpha s)\big) = G_Y(1-\alpha\beta+\alpha\beta s)$, the generating function of $(\alpha\beta) \circ Y$.

(4) $G_Y(s) = e^{\lambda(s-1)}$, so $G_{\alpha \circ Y}(s) = e^{\lambda(1-\alpha+\alpha s-1)} = e^{\alpha\lambda(s-1)}$. ■

Definition 8.1.2 (INAR(1) model)

A series y_t, $t = 1, 2, \dots$, with values in $\{0, 1, 2, \dots\}$ follows the *INAR(1) model* if

$$y_t = \alpha \circ y_{t-1} + \epsilon_t, \tag{8.1}$$

where $\alpha \in (0, 1)$, the ϵ_t are i.i.d. nonnegative integer-valued random variables, and ϵ_t and the counting sequence of $\alpha \circ y_{t-1}$ are independent of each other and of $\mathcal{F}_{t-1}$. ($\alpha \circ y_{t-1}$: survivors of a branching process; ϵ_t: immigrants.)

$\mu = E\epsilon_t$, $\sigma_\epsilon^2 = \operatorname{Var} \epsilon_t$; usually ϵ_t is Poisson or geometric.

Proposition (Stationarity, moments and ACF of INAR(1), [Supplement])

Let $0 < \alpha < 1$ and $\sigma_\epsilon^2 < \infty$.
(1) (8.1) has a strictly stationary solution; every stationary solution has the marginal law of $\sum_{j=0}^{\infty} \alpha^j \circ \epsilon_{t-j}$ (independent thinnings), which is finite a.s.
(2) $E(y_t \mid \mathcal{F}_{t-1}) = \alpha y_{t-1} + \mu$ and $\mathrm{Var}(y_t \mid \mathcal{F}_{t-1}) = \alpha(1-\alpha)y_{t-1} + \sigma_\epsilon^2$.
(3) $Ey_t = \dfrac{\mu}{1-\alpha}$ and $\mathrm{Var}\, y_t = \dfrac{\sigma_\epsilon^2 + \alpha\mu}{1-\alpha^2}$.
(4) $\gamma(h) = \mathrm{Cov}(y_t, y_{t+h}) = \alpha^{|h|}\gamma(0)$, so the ACF is $\rho(h) = \alpha^{|h|}$, as for an AR(1) process.

Proof.

Step 1: construction. Take i.i.d. ϵ_s ($s \in \mathbb{Z}$) and, independently, i.i.d. Bernoulli(α) indicators $B_{s,i,r}$ for $s < r$ and $i \geq 1$. Immigrant i of time s ($1 \leq i \leq \epsilon_s$) is *alive at time* $t \geq s$ if $B_{s,i,r} = 1$ for all $s < r \leq t$, and let y_t be the number of individuals alive at time t. Since $Ey_t = \sum_{j\geq 0} \alpha^j \mu < \infty$, y_t is finite a.s. Each individual alive at $t-1$ survives to t independently with probability α, via indicators $B_{\cdot,\cdot,t}$ independent of $\mathcal{F}_{t-1}$ and of ϵ_t; so the survivors form $\alpha \circ y_{t-1}$ and $y_t = \alpha \circ y_{t-1} + \epsilon_t$. The construction is shift-invariant, so $\{y_t\}$ is strictly stationary. The contributions of the cohorts $s = t - j$ are independent, and each is distributed as $\alpha^j \circ \epsilon_{t-j}$ (survival over j steps has probability α^j); hence $y_t \overset{d}{=} \sum_{j\geq 0} \alpha^j \circ \epsilon_{t-j}$.

Step 2: uniqueness of the law. For any solution, iterating (8.1) and using Proposition (3) gives $y_t \overset{d}{=} \alpha^t \circ y_0 + \sum_{j=0}^{t-1} \alpha^j \circ \epsilon_{t-j}$ with all thinnings independent. As $P(\alpha^t \circ y_0 \geq 1) = E\big[1-(1-\alpha^t)^{y_0}\big] \to 0$ by dominated convergence, the law of y_t converges to that of $\sum_{j\geq 0} \alpha^j \circ \epsilon_{t-j}$. If the solution is stationary its law does not change with t, so it equals this limit.

Step 3: conditional moments. Given $\mathcal{F}_{t-1}$, $\alpha \circ y_{t-1}$ is Binomial(y_{t-1}, α) and independent of ϵ_t, so Proposition (1) gives (2); in particular

$$E(y_t \mid y_{t-1}) = \alpha y_{t-1} + \mu. \tag{8.2}$$

Step 4: moments. The representation of Step 1 has finite variance, since $\mathrm{Var}(\alpha^j \circ \epsilon) = \alpha^j(1-\alpha^j)\mu + \alpha^{2j}\sigma_\epsilon^2$ is summable. Taking expectations in (8.2), $m = Ey_t$ solves $m = \alpha m + \mu$. By the variance decomposition and (2),

$$v = \mathrm{Var}\, y_t = E(\alpha(1-\alpha)y_{t-1} + \sigma_\epsilon^2) + \mathrm{Var}(\alpha y_{t-1} + \mu) = \alpha(1-\alpha)m + \sigma_\epsilon^2 + \alpha^2 v,$$

and $(1-\alpha)m = \mu$ gives $v(1-\alpha^2) = \alpha\mu + \sigma_\epsilon^2$.

Step 5: ACF. For $h \geq 1$, y_t is $\mathcal{F}_{t+h-1}$-measurable, so $\gamma(h) = \mathrm{Cov}(E(y_{t+h} \mid \mathcal{F}_{t+h-1}), y_t) = \mathrm{Cov}(\alpha y_{t+h-1} + \mu, y_t) = \alpha\gamma(h-1)$, whence $\gamma(h) = \alpha^h\gamma(0)$; and $\gamma(-h) = \gamma(h)$. ■

Example 8.1.3 (Poisson innovations)

Let $\epsilon_t \sim \mathrm{Poisson}(\mu)$. By Proposition (4), $\alpha^j \circ \epsilon_{t-j} \sim \mathrm{Poisson}(\alpha^j\mu)$, and a sum of independent Poisson variables is Poisson, so the stationary law is

$$y_t \sim \mathrm{Poisson}\Big(\frac{\mu}{1-\alpha}\Big),$$

with mean = variance, as in Proposition (3) with $\sigma_\epsilon^2 = \mu$. Larger α: higher level, longer runs ($\rho(h) = \alpha^h$).

8.1.1 Conditional least squares

By (8.2), $(\hat\alpha, \hat\mu)$ minimizes $\sum_{t=1}^n (y_t - \alpha y_{t-1} - \mu)^2$ given $y_0, \dots, y_n$:

$$\begin{pmatrix} \hat\alpha \\ \hat\mu \end{pmatrix} = \begin{pmatrix} \sum_{t=1}^n y_{t-1}^2 & \sum_{t=1}^n y_{t-1} \\ \sum_{t=1}^n y_{t-1} & n \end{pmatrix}^{-1} \begin{pmatrix} \sum_{t=1}^n y_{t-1} y_t \\ \sum_{t=1}^n y_t \end{pmatrix}. \tag{8.3}$$

Proposition (Asymptotics of the least squares estimator, [Supplement])

Let $\{y_t\}$ be the stationary INAR(1) series with $\operatorname{Var} y_t > 0$ and $Ey_t^3 < \infty$. Put $\theta = (\alpha, \mu)^T$, $\mathbf{x}_t = (y_{t-1}, 1)^T$, $u_t = y_t - \alpha y_{t-1} - \mu$, $A = E(\mathbf{x}_t \mathbf{x}_t^T)$ and $V = E(u_t^2 \mathbf{x}_t \mathbf{x}_t^T)$. Then $\hat\theta \to \theta$ a.s. and

$$\sqrt{n}(\hat\theta - \theta) \xrightarrow{d} N(0, A^{-1} V A^{-1}).$$

Proof.

Step 1. $\{y_t\}$ is a fixed function of an i.i.d. sequence (Step 1 above), hence stationary and ergodic. A is positive definite because $\det A = \operatorname{Var} y_{t-1} > 0$. Since $y_t = \theta^T \mathbf{x}_t + u_t$, (8.3) gives

$$\hat\theta - \theta = \Big(\frac{1}{n} \sum_{t=1}^n \mathbf{x}_t \mathbf{x}_t^T \Big)^{-1} \frac{1}{n} \sum_{t=1}^n \mathbf{x}_t u_t.$$

Step 2. By the ergodic theorem $\frac{1}{n}\sum \mathbf{x}_t \mathbf{x}_t^T \to A$ and $\frac{1}{n}\sum \mathbf{x}_t u_t \to E(\mathbf{x}_t u_t) = E(\mathbf{x}_t E(u_t \mid \mathcal{F}_{t-1})) = 0$ a.s., so $\hat\theta \to \theta$ a.s.

Step 3. $\{\mathbf{x}_t u_t\}$ is a stationary ergodic martingale difference with $E\|\mathbf{x}_t u_t\|^2 < \infty$ (because $E(u_t^2 \mid \mathcal{F}_{t-1}) = \alpha(1-\alpha) y_{t-1} + \sigma_\epsilon^2$ and $Ey^3 < \infty$). The martingale CLT gives $n^{-1/2} \sum \mathbf{x}_t u_t \xrightarrow{d} N(0, V)$, and Slutsky's lemma completes the proof. ∎

8.2 The INGARCH(1,1) model

Motivation. INGARCH makes the count Poisson given the past with a GARCH-type intensity, which is also the conditional variance.

Let the conditional mean follow

$$\mu_t = \omega + \alpha y_{t-1} + \beta \mu_{t-1}, \qquad t = 1, \dots, n, \tag{8.4}$$

with $\omega > 0$, $\alpha, \beta > 0$, $\alpha + \beta < 1$, arbitrary initial $y_0 \in \{0, 1, \dots\}$, $\mu_0 > 0$, and

$$P(y_t = k \mid \mathcal{F}_{t-1}) = \frac{e^{-\mu_t} \mu_t^k}{k!}, \qquad k = 0, 1, \dots \tag{8.5}$$

Definition 8.2.1 (INGARCH(1,1) model)

The *INGARCH(1,1) model* is

$$y_t \mid \mathcal{F}_{t-1} \sim \text{Poisson}(\mu_t), \qquad \mu_t = \omega + \alpha y_{t-1} + \beta \mu_{t-1}. \tag{8.6}$$

The conditional variance is also μ_t.

$(1 - \beta B)\mu_t = \omega + \alpha y_{t-1}$, so

$$\mu_t = \frac{\omega}{1-\beta} + \alpha \sum_{j=1}^\infty \beta^{j-1} y_{t-j}, \tag{8.7}$$

a function of (ω, α, β) and past counts; cf. GARCH(1,1) with $\sigma_t^2 \leftrightarrow \mu_t$, $y_{t-1}^2 \leftrightarrow y_{t-1}$.

Proposition (Moments of INGARCH(1,1), [Supplement])

Let $\{y_t\}$ be a second-order stationary solution of (8.6) (Ferland et al., 2006, show that one exists when $\alpha+\beta<1$). Let $m=Ey_t$. Then
(1) $m=E\mu_t=\dfrac{\omega}{1-\alpha-\beta}$;
(2) $\operatorname{Var}\mu_t=\dfrac{\alpha^2 m}{1-(\alpha+\beta)^2}$ and $\operatorname{Var} y_t=m\dfrac{1-(\alpha+\beta)^2+\alpha^2}{1-(\alpha+\beta)^2}\geq m$, so the counts are overdispersed;
(3) for $h\geq 1$, $\operatorname{Cov}(y_t,y_{t-h})=(\alpha+\beta)^{h-1}(\alpha\operatorname{Var} y_t+\beta\operatorname{Var}\mu_t)$: the ACF decays geometrically at rate $\alpha+\beta$, like that of an ARMA(1,1).

Proof. Let $\nu_t=y_t-\mu_t$. Since μ_t is $\mathcal{F}_{t-1}$-measurable, $E(\nu_t\mid\mathcal{F}_{t-1})=0$ and $E(\nu_t^2\mid\mathcal{F}_{t-1})=\mu_t$; hence ν_t is uncorrelated with every square-integrable $\mathcal{F}_{t-1}$-measurable variable, and $E\nu_t^2=m$.

Step 1. Taking expectations in (8.4), $m=\omega+(\alpha+\beta)m$ (note $E\mu_t=Ey_t$).

Step 2. Substituting $y_{t-1}=\mu_{t-1}+\nu_{t-1}$, $\mu_t=\omega+(\alpha+\beta)\mu_{t-1}+\alpha\nu_{t-1}$, where μ_{t-1} and ν_{t-1} are uncorrelated. Hence $\operatorname{Var}\mu_t=(\alpha+\beta)^2\operatorname{Var}\mu_{t-1}+\alpha^2 m$, which by stationarity gives the formula for $\operatorname{Var}\mu_t$. Then $\operatorname{Var} y_t=\operatorname{Var}\mu_t+E\nu_t^2=\operatorname{Var}\mu_t+m$.

Step 3. For $h\geq 1$, y_{t-h} is $\mathcal{F}_{t-1}$-measurable, so $\operatorname{Cov}(y_t,y_{t-h})=\operatorname{Cov}(\mu_t,y_{t-h})$. For $h=1$: $\operatorname{Cov}(\omega+\alpha y_{t-1}+\beta\mu_{t-1},y_{t-1})=\alpha\operatorname{Var} y_{t-1}+\beta\operatorname{Cov}(\mu_{t-1},\mu_{t-1}+\nu_{t-1})=\alpha\operatorname{Var} y+\beta\operatorname{Var}\mu$. For $h\geq 2$: $\operatorname{Cov}(\mu_t,y_{t-h})=\operatorname{Cov}\big((\alpha+\beta)\mu_{t-1}+\alpha\nu_{t-1},y_{t-h}\big)=(\alpha+\beta)\operatorname{Cov}(\mu_{t-1},y_{t-h})=(\alpha+\beta)\operatorname{Cov}(y_{t-1},y_{t-h})$, using that ν_{t-1} is uncorrelated with y_{t-h}. Induction on h finishes the proof. ■

The conditional MLE of (ω,α,β) maximizes (log-likelihood up to a constant)

$$L(\omega,\alpha,\beta)=\prod_{t=1}^{n}\frac{e^{-\mu_t}\mu_t^{y_t}}{y_t!},\qquad l(\omega,\alpha,\beta)=\sum_{t=1}^{n}(y_t\log\mu_t-\mu_t),$$

with μ_t from (8.4); it is consistent and asymptotically normal (Lee and Lee, 2019). Negative binomial and one-parameter exponential families are also used as conditional laws.

8.3 Change-point tests

Motivation. A CUSUM test on the residuals, a martingale difference under the null, detects parameter changes.

Residuals (CUSUM of Section 6.5): for INAR(1),

$$\hat\epsilon_t=y_t-\hat\alpha y_{t-1}-\hat\mu, \tag{8.8}$$

and for INGARCH(1,1),

$$\hat\epsilon_t=y_t-\hat\mu_t,\qquad \hat\mu_t=\hat\omega+\hat\alpha y_{t-1}+\hat\beta\hat\mu_{t-1}, \tag{8.9}$$

with arbitrary $y_0,\hat\mu_0$. The CUSUM statistic is

$$\hat T_n=\max_{1\leq k\leq n}\frac{1}{\sqrt{n}\,\hat\tau}\Big|\sum_{t=1}^{k}\hat\epsilon_t-\frac{k}{n}\sum_{t=1}^{n}\hat\epsilon_t\Big|,\qquad \hat\tau^2=\frac{1}{n}\sum_{t=1}^{n}\hat\epsilon_t^2-\Big(\frac{1}{n}\sum_{t=1}^{n}\hat\epsilon_t\Big)^2. \tag{8.10}$$

Reject at 5% if $\hat T_n>1.358$; the maximizing k estimates the change point.

Proposition (Null limit of the residual CUSUM test, [Supplement])

Let $\{y_t\}$ be a stationary INAR(1) series satisfying the assumptions of Proposition , with no parameter change, and let $\hat{\epsilon}_t$ be the residuals (8.8) from the least squares estimator. Then $\hat{T}_n \xrightarrow{d} \sup_{0\le u\le 1}|B^0(u)|$, the Brownian-bridge limit of Proposition .

Proof.

Step 1: true innovations. The true residuals $u_t = y_t - \alpha y_{t-1} - \mu = (\alpha\circ y_{t-1} - \alpha y_{t-1}) + (\epsilon_t - \mu)$ form a stationary ergodic martingale difference sequence with variance $\tau^2 = Eu_t^2 = \alpha(1-\alpha)Ey_t + \sigma_\epsilon^2 > 0$. By the functional CLT for such martingale differences (Billingsley), $W_n(s) = \frac{1}{\tau\sqrt{n}}\sum_{t\le\lfloor ns\rfloor} u_t \xrightarrow{d} W$. Exactly as in the proof of Proposition (Steps 2–3), $\max_k \frac{1}{\tau\sqrt{n}}\left|\sum_{t\le k} u_t - \frac{k}{n}\sum_{t\le n} u_t\right| \xrightarrow{d} \sup_s |B^0(s)|$.

Step 2: estimation effect. $\hat{\epsilon}_t - u_t = (\alpha-\hat{\alpha})y_{t-1} + (\mu-\hat{\mu})$. Constants cancel in $\sum_{t\le k} c - \frac{k}{n}\sum_{t\le n} c = 0$, so

$$\frac{1}{\sqrt{n}}\Big|\sum_{t\le k}(\hat{\epsilon}_t - u_t) - \frac{k}{n}\sum_{t\le n}(\hat{\epsilon}_t - u_t)\Big| = \sqrt{n}|\hat{\alpha}-\alpha|\cdot\frac{1}{n}\Big|\sum_{t\le k}(y_{t-1}-m) - \frac{k}{n}\sum_{t\le n}(y_{t-1}-m)\Big|,$$

with $m = Ey_t$. Here $\sqrt{n}(\hat{\alpha}-\alpha) = O_p(1)$ by Proposition , and $\max_{k\le n}\frac{1}{n}|\sum_{t\le k}(y_{t-1}-m)| \to 0$ a.s. because $\frac{1}{k}\sum_{t\le k}(y_{t-1}-m)\to 0$ a.s. (ergodic theorem). So the maximum over k of this difference is $o_p(1)$.

Step 3: variance estimate. Similarly $\hat{\epsilon}_t = u_t + O(|\hat{\alpha}-\alpha|y_{t-1} + |\hat{\mu}-\mu|)$ and the ergodic theorem give $\hat{\tau}^2 \to \tau^2$ in probability. Slutsky's lemma combines Steps 1–3. ■

For INGARCH(1,1), $y_t - \mu_t$ are again martingale differences and the same limit holds for (8.9) (Lee and Lee, 2019), so 1.358 is used in both models.

8.4 Selected exercises

Motivation. For INGARCH(1,1): μ_t is a geometric sum of past counts, and y_t is ARMA(1,1) with martingale-difference noise.

Exercise 8.3 (The intensity as a weighted sum of past counts)

Let $\{y_t\}_{t\in\mathbb{Z}}$ be a second-order stationary solution of (8.6) with $\omega > 0$, $\alpha, \beta > 0$, $\alpha + \beta < 1$. Prove (8.7), the series converging a.s. and in mean.

Solution.

Step 1: finite iteration. For every $K \ge 1$,

$$\mu_t = \omega\sum_{j=0}^{K-1}\beta^j + \alpha\sum_{j=1}^{K}\beta^{j-1}y_{t-j} + \beta^K\mu_{t-K}.$$

For $K = 1$ this is (8.4). If it holds for K, inserting $\mu_{t-K} = \omega + \alpha y_{t-K-1} + \beta\mu_{t-K-1}$ into the last term gives $\beta^K\mu_{t-K} = \omega\beta^K + \alpha\beta^K y_{t-K-1} + \beta^{K+1}\mu_{t-K-1}$, which is the identity for $K+1$.

Step 2: the remainder. $\mu_t > 0$ and, by Proposition (1), $E\mu_t = m < \infty$ for all t. Hence $E|\beta^K\mu_{t-K}| = \beta^K m \to 0$ as $K\to\infty$, because $0 < \beta < 1$.

Step 3: the series. The terms $\beta^{j-1}y_{t-j}$ are nonnegative and $\sum_{j\ge1}\beta^{j-1}Ey_{t-j} = m/(1-\beta) < \infty$. By monotone convergence $S = \sum_{j\ge1}\beta^{j-1}y_{t-j}$ has finite mean, so it is finite a.s., the partial sums S_K converge to S a.s., and $E|S - S_K| = \sum_{j>K}\beta^{j-1}m \to 0$.

Step 4: conclusion. By Step 1, $D_K = \mu_t - \omega(1-\beta^K)/(1-\beta) - \alpha S_K = \beta^K \mu_{t-K}$. By Step 3, $D_K \to \mu_t - \omega/(1-\beta) - \alpha S$ a.s., while by Step 2 $D_K \to 0$ in mean, hence a.s. along a subsequence. The two limits agree, so $\mu_t = \omega/(1-\beta) + \alpha S$ a.s., which is (8.7).

Step 5: remark on initial values. If the recursion is started at $t = 1$ from arbitrary y_0, μ_0, Step 1 with $K = t$ gives

$$\mu_t = \omega \frac{1-\beta^t}{1-\beta} + \alpha \sum_{j=1}^{t} \beta^{j-1} y_{t-j} + \beta^t \mu_0,$$

so the effect of μ_0 decays like β^t and initial values do not matter asymptotically. ■

Exercise 8.4 (INGARCH(1,1) as an ARMA(1,1) model)

Under the assumptions of Exercise 8.3, show that $\{y_t\}$ follows an ARMA(1,1) model. (Hint: consider $\nu_t = y_t - \mu_t$.)

Solution.

Step 1: the noise. μ_t is $\mathcal{F}_{t-1}$-measurable and $y_t \mid \mathcal{F}_{t-1} \sim \text{Poisson}(\mu_t)$, so $E(\nu_t \mid \mathcal{F}_{t-1}) = 0$ and $E(\nu_t^2 \mid \mathcal{F}_{t-1}) = \mu_t$. Hence $E\nu_t = 0$ and $E\nu_t^2 = E\mu_t = m = \omega/(1-\alpha-\beta)$, the same for all t. For $s < t$, ν_s is $\mathcal{F}_{t-1}$-measurable and $\nu_s\nu_t$ is integrable (Cauchy–Schwarz), so $E\nu_s\nu_t = E\big(\nu_s E(\nu_t \mid \mathcal{F}_{t-1})\big) = 0$. Thus $\{\nu_t\}$ is white noise with variance m (a martingale difference, not i.i.d.).

Step 2: the ARMA equation. Substituting $\mu_{t-1} = y_{t-1} - \nu_{t-1}$ in $y_t = \mu_t + \nu_t = \omega + \alpha y_{t-1} + \beta\mu_{t-1} + \nu_t$,

$$y_t = \omega + (\alpha+\beta) y_{t-1} + \nu_t - \beta\nu_{t-1}, \qquad \text{i.e.} \qquad (1-(\alpha+\beta)B)(y_t - m) = (1-\beta B)\nu_t,$$

using $\omega = (1-\alpha-\beta)m$. This is an ARMA(1,1) model with AR coefficient $\phi = \alpha+\beta \in (0,1)$ and MA coefficient $\theta = -\beta \in (-1,0)$; it is causal and invertible.

Step 3: causality and a check. Iterating Step 2, $y_t - m = \sum_{j=0}^{K-1} \phi^j(\nu_{t-j} - \beta\nu_{t-j-1}) + \phi^K(y_{t-K} - m)$, and the remainder has second moment $\phi^{2K} \operatorname{Var} y_t \to 0$. Hence $y_t - m$ is a mean-square limit of combinations of ν_s, $s \le t$, and is uncorrelated with $\nu_{t+1}, \nu_{t+2}, \ldots$. These are the only facts used in Example 2.4.3, which therefore gives

$$\operatorname{Var} y_t = \frac{m(1+2\phi\theta+\theta^2)}{1-\phi^2} = m\,\frac{1-2\alpha\beta-\beta^2}{1-(\alpha+\beta)^2} = m\,\frac{1-(\alpha+\beta)^2+\alpha^2}{1-(\alpha+\beta)^2},$$

in agreement with Proposition (2), and $\gamma(h) = (\alpha+\beta)^{h-1}\gamma(1)$ as in Proposition (3). ■